

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

RESPONDENT SERVICE BY AIR, INC.'S EXCEPTIONS
TO INITIAL DECISION OF ADMINISTRATIVE LAW JUDGE

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I. INTRODUCTION AND STATEMENT OF EXCEPTIONS

Respondent Service By Air, Inc. (“SBA”) respectfully submits its exceptions to the Initial Decision of the administrative law judge (“ALJ”) filed May 24, 2019. SBA requests a Commission hearing, pursuant to 46 CFR §502.241, to address the primarily factual circumstances at the heart of this dispute as described below, including whether SBA ever operated or held itself out as an NVOCC; and whether claimant CMI Distribution, Inc. (“CMI”) understood that SBA had operated or held itself as an NVOCC.

Most points addressed below are supported by uncontested evidence which the ALJ did not address in his Initial Decision. While the Commission’s review of an ALJ’s initial decision is *de novo* as to all fact and legal points (46 CFR §502.227(a)(6)), where an ALJ renders fact conclusions that are contrary to uncontested evidence, reversal is proper even on the more stringent “clearly erroneous” standard federal courts of appeal apply. A summary of these uncontested points is as follows:

1) The ALJ erred by ruling that SBA operated, or held itself out as, an NVOCC based on the following:

a) SBA did not represent, and CMI did not understand, that SBA had an NVOCC tariff or operated in any fashion pursuant to an NRA or other NVOCC-specific documentation or procedures.

b) SBA did not issue any bills of lading; CMI did not understand SBA issued any bills of lading; and the documents labeled “air waybill” which SBA supplied CMI long after completion of transports provided only invoicing backup data at CMI’s request. Those forms were not used, and could not be used, in any capacity as functional bills of lading.

c) SBA had no contract of affreightment, relationship or contact with any VOCC. SBA did not “purchase transportation services” from any common carrier as would an NVOCC.

d) To any extent SBA “assumed responsibility for transportation of cargo,” it was as part of an agreement to coordinate transportation services. SBA did not assume the role of an NVOCC by doing so; and CMI did not understand that it did. SBA never agreed to pay cargo claims of CMI, and never received, processed, or paid any CMI cargo claim.

e) SBA did not establish its own freight rates; rather, it accepted rates CMI dictated in the format CMI specified.

f) All shipping documentation was issued by entities other than SBA, i.e., master bills of lading were issued by VOCCs; and house bills of lading were issued by NVOCCs that engaged the VOCCs, primarily LAS Freight Systems, Inc. (“LAS Freight”). Any ambiguity in that documentation as to shippers and consignees is not SBA’s responsibility. The clearest indication of whether SBA operated as an NVOCC would have been house bills of lading SBA would have issued to CMI’s Chinese suppliers which would be the shippers of record in such shipments. SBA issued no such house bills of lading; CMI produced none; and none are in the record.

2) The ALJ erred by not recognizing that all pricing for ancillary services, including demurrage and detention, was by agreement of the parties which included reasonable profit margins to SBA. CMI paid those charges without protest over an extended period of time.

3) The ALJ erred by not deducting all costs SBA paid to third-party service providers from his finding of CMI’s damages. The record reflects an additional \$27,346.75 in costs SBA paid to such providers which the ALJ did not recognize.

4) The ALJ erred in finding any wrongdoing by SBA to be “normal, customary and continuous.” No evidence of any such activity is in the record outside the subject transaction with CMI.

II. SUMMARY OF FACTS AND ARGUMENTS SUPPORTING EXCEPTIONS

Evidence conclusively demonstrates SBA did not operate, or “hold itself out to the general public,” as an NVOCC in the shipments at issue. Thus, it is not subject to, and could not operate in violation of, the Ocean Shipping Act of 1984, 46 U.S.C. §40101, *et seq.* (“the Shipping Act”), and the Commission lacks subject matter jurisdiction over CMI’s claims herein. Evidence further demonstrates that all of SBA’s charges to CMI, which CMI paid without protest, were appropriate and in accordance with the parties’ specific agreement.

A) *The Statutory Definition of “NVOCC” does Not Encompass SBA*

- 1) 46 U.S.C. §40102(16) defines NVOCC to mean “a common carrier that ... (B) is a shipper in its relationship *with an ocean common carrier* [emphasis added].”
- 2) CMI makes no argument that SBA was a “shipper” in its relationship with any common carrier. No bill of lading or other documentation identifies SBA as a shipper of record.
- 3) CMI easily could look to the VOCC bills of lading and/or bills of lading issued by NVOCC LAS Freight or the other Chinese NVOCCs to confirm this.

B) *SBA did Not “Issue” Bills of Lading, as the “Air Waybill” Forms were Not Functional as Transportation Documents*

- 1) CMI’s warehouse manager, Justin M. Jalowiecki, who managed CMI’s relationship with SBA, confirms SBA never issued any bills of lading to CMI.
- 2) On an ongoing basis, CMI requested backup data for SBA’s invoices. SBA, primarily an indirect air carrier, had a software program that generated the requested data on an “air waybill” form. SBA inadvertently provided CMI the requested data on those forms, but they were not bills of lading; and CMI did not understand them to be bills of lading (they were provided with invoicing long after completion of transports).

- 3) CMI confirms it did not use the “air waybill” forms for any transportation purpose.
- 4) Customs documentation in CMI’s possession demonstrates conclusively that SBA’s “air waybill” forms were not used for any transportation purpose.
- 5) The unsigned “air waybill” forms facially are not functional bills of lading naming SBA as a carrier. To the contrary, they are marked for “SBA’s use only.”
- 6) Had the “air waybill” forms been functional, they would have been issued to the shippers, i.e., CMI’s Chinese suppliers. CMI was the consignee of the shipments at issue. SBA did not send the “air waybill” forms to the shippers, and CMI does not suggest otherwise.

C) *SBA did Not “Hold Itself Out to the General Public” as an NVOCC*

- 1) No evidence suggests SBA ever “held itself out” *to the general public* as an NVOCC, which is required for consideration in determining that it should be held liable as one.
- 2) CMI, through both its FRCP 30(b)(6) Designee and Jalowiecki, concedes it did not understand SBA to be an NVOCC.
- 3) SBA did not send CMI a “tariff,” or represent to CMI that it has any “tariff,” NRA or any other such documentation which only NVOCCs would have. Jalowiecki confirms the following:
 - i. CMI, through Jalowiecki, sent SBA the pricing form of CMI’s former service provider UTI United States, Inc. (“UTI”), and asked SBA to state SBA’s pricing on a copy of the identical form so that CMI could conveniently compare UTI’s and SBA’s pricing “side by side.” SBA complied, and replaced UTI’s logo with SBA’s logo on UTI’s form so that CMI would understand the side-by-side pricing comparisons on the two documents (i.e., whose was whose).
 - ii. CMI, through Jalowiecki, “did not understand SBA to be adopting UTI’s terms and conditions by it submitting pricing on UTI’s form table without deleting the small, preprinted text.” CMI did not interpret preprinted references on UTI’s form to be a representation that SBA had a “tariff.”

- iii. CMI understood the term “tariff,” as CMI and SBA used it, to mean simply a price list of services SBA would provide in the informal sense. CMI did not understand the term to mean a formal NVOCC tariff that SBA would publish in accordance with Commission regulations.
- 4) SBA never stated it would perform the same functions as UTI.
- 5) SBA never asserted “carrier liens.”
- 6) SBA did not conceal the identity of actual carriers, which is clear by the fact CMI had in its possession house bills of lading issued by the actual Chinese NVOCCs.
- D) *All Demurrage Charges SBA Invoiced, and which CMI Paid, were Reasonable, and Contractually Agreed to at CMI's Request***
- 1) CMI's Chinese suppliers, i.e., the shippers in the subject transports, directed that the Chinese NVOCCs which arranged the subject transports not issue original bills of lading, thereby preventing CMI from taking possession of the subject cargo unless and until CMI had paid the suppliers under the commercial invoices. Thus, cargo release could be effected only by the Chinese NVOCCs' issuance of telex releases once CMI had paid its Chinese suppliers.
- 2) CMI was experiencing ongoing cash-flow issues that prevented it from paying its Chinese suppliers, which delayed issuance of the telex releases and resulted in the accrual of significant demurrage charges.
- 3) At CMI's request, SBA and CMI agreed to a set rate of \$300.00/day/container for demurrage. CMI requested a set rate so that it could budget its future demurrage obligations in light of its ongoing cash flow issues. CMI paid SBA's demurrage invoices at this rate without protest.
- 4) SBA estimates that the demurrage it collected from CMI exceeds payments SBA made to Freight Tech Cartage, Inc. (“Freight Tech”), which actually possessed the cargo, by approximately 20%. This margin is appropriate under industry standards to account for

SBA's administrative efforts and the risk that CMI would not pay SBA demurrage charges SBA had paid Freight Tech.

E) *The Record Contains No Suggestion of "Normal, Customary and Continuous" Wrongdoing*

There is no suggestion SBA has ever involved itself with transportation activities such as those at issue in any instance other than the one in dispute.

F) *Costs SBA paid to Third-Party Service Providers Must be Fully Deducted from Any Award to CMI*

The record reflects an additional \$27,346.75 in costs SBA paid to such providers which the ALJ did not recognize.

III. FACTUAL BACKGROUND

A) *Parties*

1) SBA

SBA operates primarily as an indirect air carrier and surface third-party logistics provider. It was never licensed for, and has never participated in, NVOCC activities or outbound ocean transportation.

2) LAS Freight

LAS Freight, a China company, operates as an ocean freight forwarder as provided by China law, which is comparable to an NVOCC under the U.S. system.¹ It is FMC-licensed as an NVOCC.

3) CMI

CMI is an importer of plastic bags and similar products. It is sophisticated in transportation, as it imports "50, 60 percent" of the product it sells.² "CMI has a history of

¹ See

http://www.hktdc.com/sourcing/hk_company_directory.htm?companyid=1X02808S&locale=en.

² RX 10. Transcript of Deposition of CMI's FRCP 30(b)(6) Designee Maria T. Vega ("Vega Deposition"), a copy of which is attached as Exhibit 1 to the Declaration of Steven W. Block (the "Block Declaration"), at 23-24.

operating with logistics service providers to bring cargo into the United States.”³ Its sister company, CMI Transportation, operates as a surface freight forwarder that provides logistics services.⁴

4) Individuals

For ease of reference, below is a list of individuals involved in the transactions at issue:

- a) Edward A. Zasada, SBA’s regional manager.
- b) Bryan Tincher, SBA’s manager of domestic freight forwarding.
- c) Justin M. Jalowiecki, CMI’s warehouse manager who managed CMI’s relationship with SBA.
- d) Maria Vegas, CMI’s controller and FRCP 30(b)(6) designee.

B) *Transactions at Issue*

In or about early 2014, CMI contacted SBA requesting that SBA arrange importation from China into the U.S. of approximately 80 containers of cargoes consisting primarily of slider plastic bags.⁵ CMI requested ocean transportation, port-to-door service, and customs clearance.⁶

SBA engaged LAS Freight to arrange the subject ocean transports from China. LAS Freight issued its own house through bills of lading from China to SBA’s facility in Bensenville for the transports at issue for the vast majority of the shipments.⁷ LAS engaged other Chinese NVOCCs⁸ for several of the shipments, and those other Chinese NVOCCs issued through house

³ RX 11. Vega Deposition at 29.

⁴ RX 8. *Id.* at 16-19.

⁵ RX 27. *Id.* at 90.

⁶ RX 14. *Id.* at 40 and Zasada Declaration.

⁷ RX 118 – RX 256. Declaration of Edward A. Zasada (“Zasada Declaration”) and copies of bills of lading attached as Exhibit 1 thereto.

⁸ These are “U.S. United Logistics (NINGNO) Co.,” “Ocean Star Transport Int’l, Ltd.,” “Ever Since Group Co., Ltd.,” “Acme Freight Services Corp.,” “Anchor Logistics,” and “Global Links Express, Inc.” While LAS Freight is an FMC-licensed NVOCC, these other Chinese transportation service providers apparently are not, and therefore technically are not “NVOCCs,” as China does not use that moniker. For ease of reference, they are referred to as “Chinese NVOCCs” herein.

bills of lading for the shipments they administered.⁹ None of these house bills of lading named SBA as a shipper or a carrier of record.

However, LAS Freight and the other Chinese NVOCCs did not issue original bills of lading, thereby protecting the Chinese shippers from CMI obtaining the cargo until the shippers authorized issuance of “telex releases.” Thus, unless and until CMI paid commercial invoice costs to its Chinese suppliers, LAS Freight and the other Chinese NVOCCs would not issue telex releases, and transportation service providers down the chain were precluded from releasing the cargo to CMI.¹⁰

The ocean transports landed in various west coast ports, and were transported by rail to inland destinations, mostly Chicago. SBA engaged motor carrier Freight Tech to dray most of the cargo from the inland rail yards to Freight Tech’s yard in Naperville, Illinois, where it would await further delivery instructions. SBA was never in physical possession of the cargo. CMI’s China-based suppliers instructed LAS Freight, which in turn instructed SBA, not to release the cargo to CMI unless and until confirmation was received that CMI had paid the suppliers under the commercial invoices for CMI’s purchase of the cargo. This would be accomplished by telex releases.¹¹

C) *CMI’s Cash Flow Difficulties Prevented Its Retrieval of Delivered Cargo*

During the shipment transactions at issue, CMI was “experiencing cash flow problems,” which prevented it from paying its suppliers. When asked whether “the cash flow problems arose, at least in part, because your customers weren’t paying for product,” she responded “Well, we had bad product. ... Yes.”¹² This circumstance derived from “an informal arrangement [CMI had] with [its] suppliers in China,” which CMI’s 30(b)(6) designee explained as follows: “When containers are ordered and the product ends up being a bad product, our customers don’t want it.

⁹ RX 118 – RX 256. Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

¹⁰ RX 119. Zasada Declaration.

¹¹ RX 119. *Id.*

¹² RX 34. Vega Deposition at 119 – 120.

So I'm sitting on product that's bad. And I'm not getting the cash flow that I need to pay other containers to come in.”¹³ When customers “didn't want to pay for” the “bad product,” CMI's cash flow problem followed, as CMI's 30(b)(6) designee put it, “somewhat.”¹⁴

Consequently, CMI did not always timely pay its Chinese suppliers. CMI concedes it missed timely payment “about 25 percent of the times.”¹⁵ As CMI's 30(b)(6) Designee further explained:

We weren't receiving our customer's receipts, timely manner. Our customers were behind because, you know, our product was behind. You know, that's how we would place -- you know, being able to pay ... our suppliers. Those are large dollar amounts. And basically, you know, we were waiting; our customers to receive their product, so they can pay us. And it's just a vicious cycle sometimes where they didn't get the product.¹⁶

This resulted in containers arriving in the U.S. which transportation service providers (such as Freight Tech) could not release to CMI because telex releases had not been issued. CMI was aware that “SBA could not properly release containers if the supplier had not been paid and issued a Telex release.”¹⁷ Of the 60 containers at issue, CMI's 30(b)(6) Designee claimed she did not “recall” how many containers contained cargo for which CMI had not paid its suppliers upon arrival in the U.S.¹⁸ CMI was “aware that if cargo was not retrieved for whatever reason – storage, detention – demurrage charges will accrue...”¹⁹ That inability to release cargo for which CMI had not paid its suppliers resulted from liens the Chinese shippers held and enforced through steamship lines, railroads, and ultimately, Freight Tech and SBA.²⁰

¹³ RX 37. *Id.* at 133.

¹⁴ RX 38. *Id.* at 134.

¹⁵ RX 26. *Id.* at 86-87.

¹⁶ RX 26. *Id.* at 87.

¹⁷ RX 36. *Id.* at 126-27.

¹⁸ RX 36. *Id.* at 127.

¹⁹ RX 39. *Id.* at 141.

²⁰ RX 114. Withholding of “demurrage” payments to logistics providers apparently was CMI's ongoing practice. As Jalowiecki testifies in his declaration, CMI principal Michael Gallo “frequently would tell me that CMI did not have adequate resources to pay CMI's demurrage obligations to SBA and Freight Tech, and therefore instructed me to ask SBA/Freight Tech to withhold delivery until funds were available. When payments became due to SBA, Mr. Gallo

D) *CMI's Understanding of SBA's Role and Services*

CMI concededly does not know what an NVOCC is.²¹ It does not “know the difference between the services that an NVOCC provides as compared to an ocean freight forwarder.”²² As CMI’s 30(b)(6) designee put it, “[w]hether they [SBA] were an NOVO -- whatever it was – or if they had ocean vessels, I never got that detailed with.”²³ When asked whether “SBA agreed to provide CMI NVOCC services,” she responded, “I don’t know.”²⁴ She did not know whether “an ocean freight forwarder could have issued a bill of lading with regard to the shipments at issue in the lawsuit.”²⁵ Before beginning its relationship with SBA, CMI believes it researched “SBA’s services and its capacities, its history, its licensing.”²⁶ It also reviewed SBA’s Terms and Conditions,²⁷ a copy of which it produced to respondents in discovery.²⁸ Those Terms and Conditions provide that SBA is:

[A] domestic (U.S.) and international air freight forwarder providing services as an indirect air carrier, including the issuance of house air waybills for individual shipments, assembly, consolidation and arrangement of transportation of goods via direct air carriers, pursuant to exemptions at 49 U.S.C. §§ 13531 and 13506(8). Service By Air, Inc. is also duly registered as a surface freight forwarder with the Federal Motor Carrier Safety Administration under Docket No. FF-005392 to provide ground transportation services via motor carriers selected by Service By Air, Inc.

E) *SBA did Not Issue any Bills of Lading*

Pivotal to the analysis of CMI’s claims is that SBA did not issue to CMI any bill of lading for any of the shipments at issue. *At CMI’s request*, SBA provided certain accounting

would tell me ‘SBA can wait.’ This was CMI’s usual practice. CMI had engaged transportation service provider ...UTI to administer its inbound transportation services through late 2014. Mr. Gallo frequently instructed me to withhold payments, including demurrage, from UTI pending CMI’s resolving cash flow issues it had with its customers and suppliers.”

²¹ RX 11 & 27. Vega Deposition at 28 and 51.

²² RX 32 & 33. *Id.* at 113-14.

²³ RX 12. *Id.* at 30-31.

²⁴ RX 18. *Id.* at 54.

²⁵ RX 33. *Id.* at 115.

²⁶ RX 13. *Id.* at 37.

²⁷ RX 20. *Id.* at 64.

²⁸ RX 73 – RX 88.

data on a computer-generated form that contains the words “air waybill.” However, CMI fully conceded in its 30(b)(6) testimony and declaration of the manager of its relationship with SBA that these “air waybill” forms were never intended, understood or functionally applied as bills of lading. Thus, they were not functional bills of lading in any sense.

CMI had copies of the house bills of lading LAS Freight and the other Chinese NVOCCs issued. Thus, CMI now claims it has two bills of lading for each shipment: the first, an ocean house bill of lading issued by a Chinese NVOCC which properly documents the shipment, and was used for customs clearance; and the second, an unsigned SBA “air waybill” form, denied by CMI’s own employee as a functional bill of lading and which its 30(b)(6) Designee confirms CMI requested and used for accounting purposes only.²⁹ Nonetheless, CMI believes the second demonstrates SBA acted as an NVOCC.

1) SBA air waybill forms

Jalowiecki confirms his declaration that SBA did not issue any bills of lading to CMI for the subject transports.³⁰ In response to SBA’s argument that it did not issue bills of lading, CMI produced in discovery four SBA “air waybill” forms, two of which are wholly illegible. For the first time, with CMI’s Opening Brief in Support of its Claims against Respondents (“CMI Brief”), CMI produced an additional 45 “air waybill” forms, for a total of 49.³¹ Also in discovery, CMI produced ocean house bills of lading issued by Chinese NVOCCs for the subject shipments, each accompanied by CBP Forms 7501 pertinent to each entry.³² Again, these Chinese house bills of lading do not identify SBA as a shipper of record.

CMI does not know when it received the documents marked “air waybill,”³³ only that “[i]t took [CMI] some time to get them after the transportation was completed ...,” i.e., “after the

²⁹ See discussion below.

³⁰ RX 114. Declaration of Justin M. Jalowiecki (“Jalowiecki Declaration”).

³¹ That the new 45 forms were not produced in discovery is clear by the absence on them of Bates Stamp numbering which appears in the first four pages numbered CMI00278, 280, 282 and 283

³² RX 90 – RX 109.

³³ RX 45 – RX 46. Vega Deposition at 165-66.

container had been in [its] possession for a while.”³⁴ Regarding the Chinese NVOCC house bills of lading it received, CMI “didn’t read most of them in detail,”³⁵ and claims it does not know what entity issued them, even though “LAS Freight” appears on most.³⁶

CMI requested from SBA “backup” documentation for each shipment, and in response, received the “air waybill” forms by email from SBA employee Bryan Tincher.³⁷ CMI then “[a]ttached them to the invoices or put them in the freight container folder” so as “[t]o confirm the quantity, the weight, the count, the entry, the cost of customs and duties ...”³⁸ Significantly, it “didn’t use them ... to receive cargo,”³⁹ and “did not use any bill of lading for purposes of confirming proper delivery to a transportation service provider.”⁴⁰ Rather, it retained them only for its “internal accounting purposes” and for “backup.”⁴¹ CMI made only “internal” use of the documents, i.e. “[j]ust to confirm our purchase order, quantity, amounts.”⁴² When asked “[d]id you ever use those airway bills as evidence of contracts of carriage and evidence that SBA was acting as an NVOCC in assuming responsibility for transportation at issue,” CMI’s 30(b)(6) Designee responded: “For any reason, no; I didn’t use them to prove to someone that we have SBA as our carrier.”⁴³

³⁴ RX 53. *Id.* at 196-97. See also pp 47-48 (RX 16), wherein Vega testifies: “When we requested invoices and the backup, nine times out of ten, we’d only get the invoice. We wouldn’t get the actual paperwork from the entry forms, the customs and duties, anything behind it. We would be shorted. Three weeks later, I would get an invoice, another copy, and then the backup; so not always. It would be delayed. There was always a delay.”

³⁵ RX 30. *Id.* at 105.

³⁶ RX 30. *Id.*

³⁷ RX 51. Vega Deposition at 186-87. Vega, as CMI’s 30(b)(6) Designee, “knew all along, there was no air transportation for any of this, despite the word ‘air’ appearing on documents...” RX 53. Vega Deposition at 195.

³⁸ RX 31-32. *Id.* at 109-10.

³⁹ RX 32. *Id.* at 111.

⁴⁰ RX 32-33. *Id.* at 111-12.

⁴¹ RX. 45-46. *Id.* at 165-66.

⁴² RX 46. *Id.* at 167.

⁴³ RX 47. *Id.* at 170.

As SBA operates primarily as an indirect air carrier, its operational and accounting software programs are designed to generate air transport documentation. SBA did not “issue” the documents labeled “air waybill” as functional bills of lading in the transportation process. With the passage of time, Radiant Global Logistics’ acquisition of SBA, attrition of personnel, and change of computer systems, why SBA generated and sent CMI those documents is unclear. SBA surmises that one of its accounting clerks sent CMI the documents in response to a request for invoice backup documentation.⁴⁴ CMI itself does not find this surprising. As CMI’s 30(b)(6) Designee testified:

Q Are you surprised to get documents marked airway bill?

A I guess I wasn’t because SBA stands for what, air – ... So that was their – it’s just, like, packaging. We send out small wares, grocery product under packaging. So people have different, you know --

Q Different forms, right?

A -- forms of doing business and their lingo. I personally thought, “Hey, somebody never changed their invoices.”

Q Their documents?

A Their documents. ... That’s the way I looked at it.⁴⁵

She further testified: “This is their way of communicating their information on an airway bill. That’s all I knew, even though I knew it was ocean freight and ... no one ever got around to changing the lingo, the wording, the label, whatever.”⁴⁶ In other words, CMI concededly viewed the “air waybills” as “invoicing” documentation as opposed to functional bills of lading to be used in the transportation process. CMI “never thought that [SBA was] trying to deceive [it] by ...transporting cargo by air when it was really going by ocean,” and “never thought that ... SBA charged [it] for air transportation rates ... even though ocean freight, which is much less expensive, had been provided.”⁴⁷

CMI received emails from SBA containing various accounting backup documentation for each shipment, i.e., the data SBA supplied on “air waybill” forms; the LAS Freight and other

⁴⁴ RX 119 – RX 120. Zasada Declaration.

⁴⁵ RX 47. Vega Deposition at 172-73.

⁴⁶ RX 48. *Id.* at 175.

⁴⁷ RX 48. *Id.*

Chinese NVOCC house bills of lading; and the CBP Forms 7501 addressed above. The “air waybill” forms were not the second of two sets of invoices to CMI; rather, they were form documents containing data CMI requested for various accounting purposes in coordination with SBA’s invoicing.

Additionally, the “air waybill” forms CMI presents facially are not functional as ocean bills of lading for the following reasons:

- a) They were never tendered to any shipper,⁴⁸ and the record does not suggest otherwise.
- b) They are not signed by a shipper, the preprinted phrase “SERVICE BY AIR, INC.” appearing in the shipper’s signature blocks.
- c) All but a few of the “air waybill” forms are marked at the bottom “COPY 8 (FOR AGENT),” which designates it to be a copy that SBA would retain for its own records had the document been used in transportation. Had the “air waybill” forms been used in transportation, CMI’s copy would have been marked “ORIGINAL 2 (FOR CONSIGNEE).”⁴⁹

2) Customs forms

CMI did not review the bill of lading numbers stated on the CBP Forms 7501 to determine whether the numbers stated on the “air waybill” forms appear on any one of them.⁵⁰ Had it done so, it would have seen that that no CBP Form 7501 it produced states any of the “air waybill” numbers of the SBA “air waybill” forms CMI relies on.

Similarly, the CBP Forms 3461 respondent SBA Consolidators, Inc. filed for each entry specify the SCAC codes of ocean carriers which issued house or master bills of lading.⁵¹ The CBP Forms 3461 specify the Chinese NVOCC’s house bill of lading number in Box 21 after the

⁴⁸ RX 119 – RX 120. Zasada Declaration.

⁴⁹ RX 119 – RX 120. *Id.*

⁵⁰ RX 51. Vega Deposition at 188.

⁵¹ RX 258 – RX 315. Copies attached as Exhibit 2 to the Zasada Declaration.

letter “H.”⁵² Had SBA issued a house bill for any of the subject transports, its SCAC code “SVBA” would appear before the bill of lading number appearing after letter “H” on the shipment’s corresponding CBP Form 3461. None do, and none of the designated house bill numbers conform to numbers stated on the “air waybills” CMI submits.

Thus, the two sets of CBP forms prove conclusively that SBA issued no functional bill of lading documentation – air waybill or otherwise – that documented transportation of any of CMI’s cargo.

At issue in this proceeding is whether SBA operated or “held itself out to the general public” as an NVOCC. Indisputably, CMI could demonstrate NVOCC activity by SBA bills of lading issued to its Chinese suppliers, i.e., the shippers of the cargo for which demurrage charges accrued. It is revealing that CMI concedes it never even asked its Chinese suppliers for copies of bills of lading documenting the subject shipments.⁵³

F) *No Evidence Suggests SBA was a “Shipper in Its Relationship with Any Carrier” or has Ever “Held Itself Out” to the Public as an NVOCC*

Absent in the record are two critical elements needed to establish that SBA purportedly operated and/or “held itself out” as an NVOCC, i.e., (1) a shipper relationship with a carrier; and (2) representations to the public at large of NVOCC operations.

1) No evidence suggests SBA has ever had any shipper relationship with a carrier

The record contains no suggestion, and CMI makes no argument, that SBA was a shipper of record in its relationship with any ocean carrier. None of the bills of lading issued by LAS Freight or the other Chinese NVOCCs names SBA as a shipper of record. Again, CMI made no effort to obtain copies of bills of lading from its Chinese suppliers.⁵⁴ It would be an easy matter to demonstrate SBA’s purported shipper relationship with carriers through such documentation.

⁵² Letter “M” specifies the ocean carrier’s “Master Bill,” and the letter “I” specifies “In-bond.”

⁵³ RX 32 & 33. Vega Deposition at 111 and 117. CMI refused to produce in discovery copies of its contracts with its Chinese suppliers. *Id.* at 66-70. CMI still purchases product from at least one of these Chinese suppliers. *Id.* at 200.

⁵⁴ RX 32 & 33. Vega Deposition at 111 and 117.

CMI retained Sumner Tariff Service, Inc., per Roy R. Sumner, to offer an opinion on this subject. Mr. Sumner reached the following conclusions⁵⁵:

We cannot determine from the documents submitted whether SBA was actually the NVOCC on all of these shipments or acted as agent for another NVOCC, probably domiciled overseas, for the purpose of releasing cargo to the proper consignee in the U.S.A. SBA has used airway bills to show the freight charges and in some cases storage or demurrage, which is then restated on an invoice along with customs duty/taxes, port surcharges, to ascertain a bottom line total charge.

Normally if SBA were the NVOCC on these transactions, one of their ocean freight bills of lading would be issued to the shipper instead of an airway bill, which is used for air shipments. Almost all of the invoices show freight charge as ocean freight. So there must have been an ocean bill of lading issued at the origin. There will also be a bill of lading from the underlying vessel operator showing SBA as shipper. If SBA was the agent for another NVOCC, the other firm would issue its bill of lading at origin and show as shipper on the VOCC bill of lading. We have two instances where bills of lading were provided showing LAS Freight System, Limited, as the NVOCC, and SBA in Bensenville, Illinois, as the release agent. The FMC database shows Las Freight System Ltd. as the NVOCC with Organization Number 13673 and their tariff is located on Descartes Systems.

This is important in that the NVOCC actually moving the cargo must maintain a tariff with the rates and charges applying to its shipments. So in at least the two shipments, Las Freight would be the applicable NVOCC.

CMI refers to SBA as “the agent for its affiliate, LAS Freight,” and to LAS Freight as SBA’s “agent” for purposes of billing demurrage. As LAS Freight is the documented NVOCC of the transportation at issue, SBA could not concurrently be both agent and principal of LAS Freight, and yet still be a shipper of record.

2) SBA did not “hold itself out to the general public” as an NVOCC

The ALJ found that SBA “held itself out” to CMI as an NVOCC to establish Shipping Act applicability. This is erroneous. Again, both Jalowiecki and CMI’s 30(b)(6) Designee confirm that CMI did not understand SBA to be an NVOCC.

⁵⁵ RX 111 & RX 112. Copy attached as Exhibit 4 to the Block Declaration.

The ALJ concluded that SBA (a) presented CMI with a “tariff,” and represented that SBA had an “NRA”; (b) told CMI it “would perform the same services as UTI”; (c) “assumed responsibility” for transportation as an NVOCC; (d) asserted “carrier liens”; and (e) concealed the identity of actual carriers. Each of these conclusions is unfounded.

a) SBA did not send CMI a “tariff” or represent that it had one

SBA did not send CMI a “tariff,” or represent to CMI that it is has a “tariff,” NRA or any other such documentation which only NVOCCs would have.⁵⁶ Jalowiecki testifies as follows⁵⁷:

- i. CMI did not understand SBA to be an NVOCC, and Jalowiecki knows of no instance in which SBA held itself out to CMI as an NVOCC.
- ii. SBA did not issue to CMI any bills of lading.
- iii. In or about August 2014, Jalowiecki communicated with Tincher regarding pricing of SBA’s services. The two used the term “tariff” in their communications. Jalowiecki understood the term “tariff,” as they both used it, to mean simply a price list of services SBA would provide in the informal sense. He did not understand Tincher to be referring to a formal NVOCC tariff that SBA would publish in accordance with Commission regulations.
- iv. In communicating with Tincher about SBA’s pricing, Jalowiecki provided him a pricing table that UTI had previously sent CMI during the CMI/UTI relationship which stated UTI’s pricing.⁵⁸ Jalowiecki asked Tincher to state to CMI SBA’s proposed pricing on an identical table so that Jalowiecki could compare UTI’s and SBA’s pricing side by side.
- v. Tincher complied, and sent Jalowiecki a revised version of UTI’s table (i.e., that Jalowiecki had sent him), now dated August 27, 2014. Tincher had replaced the

⁵⁶ The UTI table CMI calls a “tariff” falls far short of containing all NVOCC tariff provisions 46 CFR 520 requires.

⁵⁷ RX 114. Jalowiecki Declaration.

⁵⁸ RX 117. A copy is attached as Exhibit 1 to the Jalowiecki Declaration.

pricing contents of the revised table to state SBA's pricing terms in place of UTI's, but he did not modify other terms UTI's form included in small, preprinted text on the bottom.

- vi. CMI did not understand SBA to be adopting UTI's terms and conditions by submitting its pricing on UTI's form table without deleting the small, preprinted text.

Thus, the testimony of CMI's own employee, who managed CMI's relationship with SBA and was personally involved in the generation of the form table at issue, establishes conclusively that SBA never represented it had an NVOCC tariff or NRA, and that CMI never understand SBA to be making any such representation.

In compliance with directives from Jalowiecki, SBA priced its services based on UTI's pricing. Indeed, CMI itself confirms this, as Vega states in her declaration supporting CMI's statement of facts, "CMI informed SBA its rates needed to match or beat UTI's rates, which were published in UTI's tariff."⁵⁹ Thus, SBA's "markups" of NVOCC freight rates are not NVOCC activity. SBA's rates were set at pricing CMI itself directed.

b) SBA did not advise CMI that it would perform "the same functions as UTI"

The ALJ accepted CMI's summary of Tincher's deposition testimony that "SBA admitted under oath that it informed SBA that it could provide the same type of service that UTI, an NVOCC, previously had been providing to CMI ..."⁶⁰ This statement is egregiously inaccurate and misleading. In the passage CMI cites, Tincher actually testified as follows:

Q You didn't understand that their tariff refers to their Carrier's rules tariff? That that means that they're acting as a carrier?

A At that time I did not read the entire tariff. I was asked to do something by my customer and I did it [i.e., provide SBA's pricing on UTI's form].

Q Okay.

A So I didn't read the fine print. I didn't -- it was not my understanding that I was presenting a tariff according to FMC rules.

⁵⁹ Vega Declaration, attached to the CMI Brief at para. 10 (not CX page numbered); and RX 120 Zasada Declaration.

⁶⁰ CMI Brief at 13.

Q Essentially, though, you were saying “Listen, we provide the same type of service as UTI, right?”

A Yes.

Q But that’s not accurate is it?

A I wouldn’t say that.

Q You provide the same service as UTI?

A I don’t know what UTI did. So I can’t answer that question. I don’t know what exact services they were doing. I mean, there are similarities.

Q Well, as far as you’re concerned, there’s really no difference between what they’re doing and you’re doing is there?

A There may be. I don’t know that.⁶¹

Nowhere does Tincher testify that he advised CMI that SBA would provide “the same service” as did UTI, and CMI, through Jalowiecki, confirms CMI did not infer SBA would.

c) SBA never “assumed responsibility for transportation” as an NVOCC

No evidence suggests that “[i]f there was damage to CMI’s cargo, SBA would inform CMI that it should submit a claim to SBA to get credit or damages.”⁶² In fact, this statement is inaccurate. SBA never agreed to pay cargo claims, and in fact, never received, processed, or paid any CMI cargo claim.⁶³

d) SBA never asserted “carrier liens.”

SBA never asserted a “carrier lien,”⁶⁴ and the record does not suggest otherwise. Any “carrier lien” would have originated with CMI’s Chinese suppliers and be enforced through the chain of providers that culminated with Freight Tech. SBA did not physically possess the cargo. SBA did not direct Freight Tech to withhold the cargo in any capacity as a “carrier.” To the extent SBA’s request that Freight Tech hold the cargo might be interpreted as a “lien” of any

⁶¹ Transcript of Deposition of Bryan Tincher, a copy of which is attached to CMI’s proposed findings of fact, at 66-67.

⁶² CMI Brief at 13; CMI’s Statement of Facts at paragraph 50, which states without any supporting evidence in the record that “[a]t all times CMI believed that if its goods were damaged in transit, SBA as CMI’s carrier would be responsible for such damages.” Why CMI purportedly believed this is a mystery.

⁶³ RX 120. Zasada Declaration.

⁶⁴ RX 120. Zasada Declaration.

sort, it would be a commercial possessory lien on chattels for services rendered in accordance with Illinois commercial law.⁶⁵

e) SBA did not “conceal the identity of the actual carrier.”

The ALJ erroneously accepted CMI’s argument that SBA became an NVOCC when it “conceal[ed] the identity of the actual carrier.”⁶⁶ CMI concedes it received from SBA,⁶⁷ and indeed produced in discovery, copies of bills of lading issued by the Chinese NVOCCs. Thus, it obviously knew their identities, including the primary NVOCC, LAS Freight.

3) No evidence suggests, and CMI does not argue, that SBA “held itself out to the general public” as an NVOCC to the public at large

CMI does not suggest, much less argue and support with evidence, that SBA “held itself out” as an NVOCC *to the general public* as an NVOCC or other carrier. The record contains no evidence that SBA’s website, advertising materials, letterhead, standard forms, etc., suggest SBA offers or provides NVOCC or other ocean carrier services. As demonstrated in the Legal Argument section below, the absence of such evidence defeats CMI’s argument that SBA “held itself out” as an NVOCC and therefore should be subject to the Shipping Act. Statements made to, or a relationship with a single customer are insufficient.

G) “Demurrage” Charges

Preliminarily, SBA agrees that use of the term “demurrage” was perhaps inartful in the subject transactions.⁶⁸ As Freight Tech used that term in its invoices to SBA, SBA used it in invoicing CMI (i.e., SBA did not originate its usage).⁶⁹ However, CMI was not confused by the

⁶⁵ See, e.g., Illinois statute 770 ILCS 45.

⁶⁶ CMI Brief at 11.

⁶⁷ RX 31. Vega Deposition at 106-07.

⁶⁸ See CMI Brief at 2-3, raising issues as to usage of the term “demurrage” in the ocean shipping industry.

⁶⁹ The term “demurrage” is used in modes of transportation other than ocean, including motor and rail. See, e.g. *N. Am. Freight Car Ass’n v. Surface Transportation Board*, 529 F.3d 1166 (D.C. Cir. 2008), upholding the Surface Transportation Board’s decision denying the North American Freight Car Association’s challenge to storage and demurrage charges imposed by Burlington Northern and Santa Fe Railway Company for empty freight cars that remained on the tracks beyond the free period.

term, understanding it to mean storage charges that would properly accrue when its cargo was not retrieved based on its inability to pay its Chinese suppliers. CMI's 30(b)(6) Designee testified as follows in deposition:

Q What do you understand demurrage to mean as the term has been used in this series of transactions between SBA and CMI?

A ...That the container was being held in storage.

Q It's essentially a storage charge, right?

A Correct.

Q Okay.

Q And a storage charge accrues because the container is not being picked up, right? Is that your understanding?

A Yes, and the carrier is not releasing it.

Q Okay. So the cargo is sitting there because CMI cannot pick it up because the supplier won't release it; is that right?

A That's what we were told by SBA.⁷⁰

Despite this testimony, CMI made much of emails SBA sent CMI referencing demurrage costs as having originated with steamship lines.⁷¹ As SBA's regional manager, Ed Zasada, testified, SBA's use of the term "steamship line ... was paraphrasing or using a colloquial term ... to make it simple for them by using the term 'co-loaders.'"⁷² Thus, the "steamship line" reference was not deceptive, and as CMI admits, it understood what was meant.

As CMI had not paid its suppliers, its Chinese suppliers did not authorize issuance of telex releases to the chain of transportation service providers, and Freight Tech was forced to hold the cargo. This generated "demurrage" charges that SBA paid, and which CMI was required to reimburse, before obtaining its cargo. Per SBA's agreement with Freight Tech, SBA

⁷⁰ RX 27. Vega Deposition at 92-93.

⁷¹ CMI Brief at 17.

⁷² Deposition of Edward Zasada (not CX page numbered), a copy of which is attached to CMI's Statement of Facts, at 43.

paid the accrued demurrage to Freight Tech on an ongoing basis and had to seek reimbursement from CMI.⁷³

At various times between April 2014 and July 2015,⁷⁴ SBA notified CMI that its cargo had arrived, and was ready for onward delivery from Freight Tech's yard pending issuance of telex releases. SBA informed CMI numerous times that the "free days" Freight Tech allotted for storage had expired for specified containers, and that extensive demurrage charges were accruing.⁷⁵ When CMI had resolved its cash-flow issues, it agreed it owed, and fully paid, SBA the invoiced demurrage without complaint or objection.⁷⁶

CMI's 30(b)(6) Designee, Maria Vega, is CMI's controller. When CMI's inability to pay its Chinese suppliers began to generate a chronic demurrage issue, Vega advised SBA that she needed to budget future demurrage charges. In or about early 2015, she asked Zasada to calculate a fixed per diem demurrage rate per container that SBA would charge without deviation. This would enable her to budget payments for future shipments accurately when CMI's cash flow issues prevented retrieval of arrived containers. Zasada advised Vega that this was a "bad idea," because it would force SBA to make estimates that would have to cover unknown future costs. Nonetheless, in or about January or February 2015, Vega insisted that SBA provide CMI a fixed rate that SBA would "stick to," and "to make sure you cover yourself." After computing average demurrage costs based on historical data, SBA proposed, and CMI accepted, a demurrage rate of \$300/container/day.⁷⁷

CMI's 30(b)(6) testimony in this regard was somewhat cryptic, if not evasive, but she did not deny CMI had entered into an agreement with SBA to pay \$300/container/day in demurrage charges:

Q Okay. Did you ever ask for estimates of future demurrage?
A I didn't.

⁷³ RX 121. Zasada Declaration.

⁷⁴ See table attached as Exhibit 1 to the Verified Complaint.

⁷⁵ RX 121. Zasada Declaration.

⁷⁶ RX 121. *Id.*

⁷⁷ RX 121. *Id.*

Q Did CMI?

A Could have been, Diana [Alvarez, a CMI bookkeeper] asked.

Q Okay. You don't know whether CMI asked SBA to calculate future demurrage charges based on dates when cargo likely would be received?

A I myself don't recall, but I believe Diana would have been the one. ...⁷⁸

Q Okay. When did you first become aware that SBA was charging CMI \$300 per container per day for demurrage?

A I know it didn't originally start that way.

Q But you don't recall when?

A Not exactly, no, not the exact invoice, no.⁷⁹

Toward the end of the parties' business relationship, CMI threatened SBA that it would file bankruptcy if SBA did not secure the release of its cargo without full payment of outstanding demurrage charges. CMI's 30(b)(6) designee confirmed this, although she categorized it as "just an idle threat to get our containers."⁸⁰ However, CMI understands that this "idle threat" prompted SBA to withhold release of the final six CMI containers pending payment of the outstanding demurrage.⁸¹ CMI ultimately paid all demurrage charges without protest and retrieved its final six containers.⁸²

SBA estimates that the demurrage it collected from CMI exceeds payments SBA made to Freight Tech by approximately 20%. This margin is appropriate under industry standards to account for SBA's administrative efforts and the risk that CMI would not pay SBA demurrage charges SBA had paid Freight Tech.⁸³ CMI paid \$300/container/day after a certain point in the relationship based on its own requested contractual agreement with SBA to do so.

⁷⁸ RX 41. Vega Deposition at 146.

⁷⁹ RX 42. *Id.* at 153.

⁸⁰ RX 39. *Id.* at 140.

⁸¹ RX 39. *Id.* at 140-41. Contrary to CMI's 30(b)(6) testimony that "six" containers remained for release, CMI now asserts that "fifteen" containers were withheld pending CMI's settling its account. CMI Brief at 7 and 21.

⁸² RX 121. Zasada Declaration.

⁸³ RX 121. *Id.*

H) *The ALJ did Not Recognize Underlying Service Charges SBA Paid and Which Must be Deducted from any award to CMI*

The ALJ, at p. 20 of his Initial Decision, finds as follows:

CMI suffered an actual injury when it paid the unlawful charges. The overcharges are found by subtracting the detention or demurrage imposed by another carrier from the amount Service by Air charged CMI. There is insufficient information in the Joint Appendix to determine a reparation award for the shipments in FLDR 3, 9, 10, 13, 16, 17, 21, 51, 53, 54, and 59.

The ALJ then calculates damages for folders 19, 25, 27, 29, 33, 36, 42, 43, 44, 46, 49, 50, 52, 58, 59, 60-61 and 62 using his stated formula in the total amount of \$126,185.00. Apparently, The ALJ did not recognize charges SBA paid primarily Freight Tech with respect to certain shipments in the amount of \$27,346.75. These are specified as follows:

Folder	ALJ Awarded	Backup Documentation Amount	JA Page	Description of Backup Documentation
29	6650	200	210	Payment stub from SBA to MSCI/Mediterranean Shipping Co.
44	6650	852	335	Jewels Transportation Inc. record for June - "2015" showing storage amount
		852	336	Jewels Transportation Inc. record for May - "2015" showing storage amount
		850	337	Jewels Transportation Inc. invoice, amount is for stripping and cross dock
		1400.5	338	Jewels Transportation Inc. invoice, amount is for stripping, skids, skids-in, skids-out, and skids-storage
		191.25	339	Jewels Transportation Inc. invoice, amount is for Misc Serv Charge 2.25 hr/wait time
		852	340	Jewels Transportation Inc. invoice, amount is for storage, invoice date June 1, 15
		504	341	Jewels Transportation Inc. invoice, amount is for storage (invoice dated April 16, 15)
49	2700	400	381	Invoice from MSC (Mediterranean Shipping Co.) amount for storage
		1900	382	Invoice from MSC, amount for logistic and management fees

60-61	24800	5075	559	Invoice from Anchor Logistics revised 6/15/2015, amount for storage fee
		5600	559	Invoice from Anchor Logistics revised 6/15/2015, amount for storage fee
		4250	560	Invoice from Anchor Logistics revised 7/27/2015, amount for per diem fee
		4420	560	Invoice from Anchor Logistics revised 7/27/2015, amount for per diem fee
Total		27346.75		

Thus, even if the ALJ accurately assessed the factual and legal circumstances, CMI would at best be entitled to an award of \$98,838.25 (\$126,185.00 - \$27,346.75).

IV. ARGUMENT SUPPORTING EXCEPTIONS

The burden of establishing subject-matter jurisdiction rests with the claimant invoking it.⁸⁴ As the ALJ states: “Under the Administrative Procedure Act (AP A), an administrative law judge may not issue an order ‘except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.’”⁸⁵ In this instance, the ALJ erred by not considering mostly uncontested evidence to determine whether SBA operated or held itself out to the general public as an NVOCC.

CMI’s claims should be dismissed for lack of Commission jurisdiction because it fails to demonstrate SBA operated or held itself out to the public at large as an NVOCC.

A) *The Shipping Act does Not Apply if SBA Operated as an Ocean Freight Forwarder for Inbound Cargo*

CMI strains to depict SBA as an NVOCC because only that role could give rise to Commission subject-matter jurisdiction. There is no suggestion SBA operated as a VOCC. SBA may not be held liable under the Shipping Act as an ocean freight forwarder (“OFF”) because the

⁸⁴ *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, FMC 06-02, 2007 FMC LEXIS 33, at *10, citing *Richmond, Fredericksburg & Potomac R. Co. v. U.S.*, 945 F.2d 765, 768 (4th Cir. 1991).

⁸⁵ Initial Decision at 9, citing 5 U.S.C. § 556(d) and *Steadman v. SEC*, 450 U.S. 91, 102 (1981).

Shipping Act does not apply to inbound forwarding activity. “The Commission does not have jurisdiction over ocean freight forwarders that perform services on shipments coming to the United States. ... [Thus, such an entity] would not itself be liable for any violation of the Act.”⁸⁶

Nothing in the record suggests SBA undertook outbound freight forwarding activities. Only with the filing of its Verified Complaint did CMI first assert that SBA operated as an NVOCC, transparently so that allegations regarding unlicensed operations, and operations in violation of tariff requirements, could be included that might invoke the Shipping Act. That approach toward eliciting Commission jurisdiction is mistaken at best.

B) *The Statutory Definition of “NVOCC” does Not Encompass SBA*

46 U.S.C. §40102(16) defines NVOCC to mean “a common carrier that ... (B) is a shipper in its relationship *with an ocean common carrier* [emphasis added].” CMI makes no argument that SBA was a “shipper” in its relationship with any common carrier. No bill of lading or other documentation identifies SBA as a shipper of record. The VOCC bills of lading and/or bills of lading issued by LAS Freight or the other Chinese NVOCCs would confirm this, but are conspicuously absent from the record. CMI’s own expert concedes the record does not suggest SBA was an NVOCC.

C) *SBA did Not “Hold Itself Out to the General Public” as an NVOCC*

An element of the definition of “common carrier” as provided at 46 U.S.C. §40102(6)(A)(i) is that the entity “holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation.” CMI’s argument that SBA “held itself out” as an NVOCC fails on its face, as it is limited to alleged (and factually unsupported) representations SBA made only to CMI. If taken as true, these representations would not constitute hold[ing] “out to the general public to provide transportation ...” As the Commission has ruled:

The “holding out” analysis places emphasis on an entity’s interaction with the public. An entity would not be considered an NVOCC unless it was holding out

⁸⁶ *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC; IFS International Forwarding, S.L.; and IFS Neutral Maritime Services*, FMC 14-04, 2014 FMC LEXIS 29, at *22-23.

to provide NVOCC services to the general public on its own behalf. [T]he Commission noted that a person may hold out to provide transportation to the public “by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.” [citation omitted]. [T]he Commission recognized that solicitation and advertising are important factors in determining whether a person is “holding out.” [citation omitted]. [T]he Commission considered whose services the purported agents were actually advertising and marketing, who was listed on the bill of lading, and whether the shipper-customers were aware of the existence of the NVOCC principal. [citation omitted]. As illustrated in these cases, the “holding out” analysis depends on how the entity in question presents itself to the shipping public.⁸⁷

CMI alleges not one instance in which SBA ostensibly “held itself out” to any member of the “shipping public” other than CMI itself. The Commission has further ruled as follows:

As a “common carrier” is defined in the Shipping Act, an NVOCC “holds out” to the “general public to provide transportation by water” and “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination” [citation omitted]. The Commission has found that no single factor of an entity’s operation is determinative of its status as a common carrier. [citations omitted]. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. [citation omitted]. The most essential factor is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates. [citation omitted].⁸⁸

Of these factors, CMI addresses in its arguments, at most, “issuance of bills of lading” and “method of establishing and charging rates,” but as demonstrated above, those arguments fail even in the limited context of SBA’s transactions with CMI. SBA issued no bills of lading, and its pricing was set, per CMI’s direction, based on pricing UTI had earlier charged. Nor does

⁸⁷ *In the Matter of the Lawfulness of Unlicensed Persons Acting as Agents for Licensed Ocean Transportation Intermediaries - Petition for Declaratory Order*, FMC 06-08, 2008 FMC LEXIS 9, at *40-41, citing *Common Carriers by Water--Status of Express Companies, Truck Lines and Other Non-Vessel Carriers*, 6 F.M.B. 245, 256 (1961)(dissenting opinion – the majority opinion was reversed by the DC Circuit Court of Appeals, finding the dissent “persuasive”); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 6 S.R.R. 483, 489 n.7 (1965).

⁸⁸ *Rose International, Inc. v. Overseas Moving Network International, Ltd., et al.*, FMC 96-05, 2001 FMC LEXIS 39, at *134, citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (1999).

CMI substantiate that an entity's activities with a single shipper are sufficient to satisfy §40102(6)(A)(i).

D) *SBA did Not Perform Tasks Delineated in 46 C.F.R. §515.2(K)*

SBA performed none of the NVOCC tasks described in 46 CFR §515.2(k) with regard to the subject shipments or any others:

1) Purchasing transportation services from a common carrier and offering such services for resale to other persons.

The record does not suggest SBA purchased on its own account any transportation services from VOCCs or NVOCCs. Had it done so, it would be named on bills of lading issued by such VOCCs or NVOCCs, and none exist. At most, SBA purchased transportation services as CMI's disclosed agent.

2) Payment of port-to-port or multimodal transportation charges.

The record does not suggest SBA purchased on its own account any port-to-port or multimodal transportation services from VOCCs or NVOCCs. Had it done so, documentation would confirm it. At most, SBA purchased port-to-port and/or multimodal transportation services as CMI's disclosed agent.

3) Entering into affreightment agreements with underlying shippers.

The record shows no such agreements by SBA with either CMI or CMI's Chinese suppliers, which were the shippers of the subject cargo.

4) Issuing bills of lading or other shipping documents.

As demonstrated above, SBA did not issue bills of lading or other shipping documents.

5) Assisting with clearing shipments in accordance with U.S. government regulations.

The record does not suggest SBA did so.

6) Arranging for inland transportation and paying for inland freight charges on through transportation movements.

While SBA arranged inland transportation, the record does not suggest it purchased or paid for such services on its own account. Had it done so, it would be named on bills of lading

issued by inland carriers. At most, SBA purchased inland transportation services as CMI's disclosed agent.

7) Paying lawful compensation to ocean freight forwarders.

The record does not suggest SBA did so.

8) Coordinating the movement of shipments between origin or destination and vessel.

The record does not suggest SBA did so. LAS Freight did so pursuant to its own house bills of lading.

9) Leasing containers.

The record does not suggest SBA did so.

10) Entering into arrangements with origin or destination agents.

The record does not suggest SBA did so.

11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

The record does not suggest SBA did so.

E) *Worldwide Relocations, Inc.*

CMI and the ALJ rely heavily on the Commission's decision in *Worldwide Relocations, Inc.*, et al., 06-01 (2012). Notably, *Worldwide Relocations* addressed distinctions between OFF and NVOCC activities when the ocean transportation intermediaries were licensed as both. SBA's services to CMI might, at most, be characterized as OFF activities for inbound cargo which are not subject to the Shipping Act and would not require Commission licensing. However, SBA does not contend in this proceeding that it is an OFF. Thus *Worldwide Relocations* is inapposite. Nonetheless, SBA addresses points CMI and the ALJ raise regarding conclusions *Worldwide Relocations* reached as follows:

1) "Permissible inferences" regarding assumption of responsibility

Worldwide Relocations concluded that inferences regarding assumption of responsibility may permissibly be drawn only *after* it is established that an entity "held itself out to the general public" as an NVOCC, as is seen by the summary of its decision on the issue:

In summary, once the presiding officer has made a finding that (1) the entity has “held itself out to the general public”; and (2) that vessels on the high seas or Great Lakes were utilized for part or all of the transportation, then that finding may apply to any and all shipments during the relevant time period. The opposing party would have the right to offer evidence, for example, that a vessel was not involved in a particular shipment.⁸⁹

As CMI fails to demonstrate SBA held itself out to the general public as an NVOCC, this analysis does not arise.

2) SBA did not engage in NVOCC practices

Worldwide Relocations made the following determinations:

The ALJ was thus able to conclude that, despite having bills of lading that -- in a vacuum -- might not answer whether the proprietary shipper had a relationship with the downstream carrier and whether the respondent acted as an Ocean Freight Forwarder, here there was evidence that the respondent was routinely misrepresenting who the shipper was on shipping documents, while charging its own higher freight rate for shipments. This pattern of manipulating the identity on the bill of lading while actually charging a separate, higher ocean freight rate appears across all respondents.⁹⁰

That is not the case here. SBA never “misrepresented the shipper” (the Chinese NVOCCs’ bills of lading, which CMI received, named the shippers); and SBA’s pricing was established based on rates UTI had previously charged CMI. SBA did not charge separate and higher rates than those charged by the Chinese NVOCCs as part of “reselling” the latter’s services; rather, it merely priced ocean shipping at rates CMI requested based on UTI’s earlier pricing.

V. ADDITIONAL ERRORS IN INITIAL DECISION

In addition to the points raised above, the ALJ erred in his Initial Decision as follows:

1) CMI should not be heard to aver that SBA wrongfully represented it would operate, and did operate, with CMI based on NVOCC-specific documents and procedures such as an FMC tariff, NRA and house bills of lading. All of the materials were generated at CMI’s

⁸⁹ *Worldwide Relocations*, FMC 06-01, 2012 FMC LEXIS 23, at *23-24.

⁹⁰ *Id.* at 26.

request for CMI's own purposes, and the parties they served no purpose establishing a shipper-carrier relationship.

2) Contrary to the ALJ's apparent observation,⁹¹ CMI began using SBA's services months before CMI asked SBA to provide data based on UTI's form. As CMI itself alleges in its complaint at para 6, SBA began providing services in April 2014, and SBA provided the form on August 27, 2014. Thus, CMI did not rely on the form, or understanding SBA purportedly was an NVOCC, in electing to do business with SBA.

3) Contrary to the ALJ's finding⁹², CMI had a "direct relationship with LAS Freight" as is demonstrated by LAS Freight house bills of lading which name CMI as LAS Freight's shipper or consignee.⁹³

4) The ALJ's discussion⁹⁴ regarding SBA "holding itself out" as an NVOCC addresses only rate setting that SBA undertook at CMI's direction. It does not mention any instance in which SBA held itself out to the "general public" as a common carrier, which is the governing standard.

5) The ALJ fails to distinguish how SBA's markups of Freight Tech's demurrage charges were taken,⁹⁵ pursuant to international ocean carriage. The cargo was no longer in transit when Freight Tech stored it. CMI's nonpayment of freight charges prompted the Chinese NVOCCs to refuse, indefinitely, to issue telex releases. This was the equivalent of those Chinese NVOCCs asserting carrier liens on the cargo, resulting in storage charges (stated as "demurrage") from the drayage company, Freight Tech.

6) In determining that "Service by Air, rather than CMI, chose what steamship line would transport CMI's goods (FF55.),"⁹⁶ the ALJ disregarded the only cognizable evidence that

⁹¹ Initial Decision at p. 5.

⁹² *Id.*

⁹³ RX 123-239.

⁹⁴ RX 14-16.

⁹⁵ RX 15.

⁹⁶ Initial Decision at 17.

this was inaccurate, and instead relied on testimony from a CMI witness who has no background, experience or foundation to make such a statement. Ed Zasada testified that SBA had no contact with any steamship line.⁹⁷ CMI's stated in her declaration that "SBA chose what steamship lines would transport CMI's goods,"⁹⁸ but has no basis, stated or otherwise, for knowing that.

7) The ALJ erred in finding that SBA "assumed responsibility" as a factor in determining it was an NVOCC, focusing on the concept that SBA "assumed responsibility for the delivery of SBA's cargo."⁹⁹ The ALJ based this determination at least partially on deposition testimony of Tincher.¹⁰⁰ While it is true NVOCCs "assume responsibility" as a matter of law for cargo delivery in much the same way as do VOCCs, this is a legal conclusion not properly obtained from a fact witness. Assumption of liability has different meanings and nuances in different circumstances. Indeed, OFFs "assume responsibility" to certain extents for transportation services as well.

NVOCCs and ocean freight forwarders are both "types of intermediaries that arrange for shippers the transportation of cargo aboard a vessel." *Scholastic Inc. v. M/V Kitano*, 362 F. Supp. 2d 449, 455 (S.D.N.Y. 2005). They "perform similar roles" and they both have responsibilities regarding cargo. An ocean freight forwarder "facilitates the movement of cargo to the ocean vessel. The freight forwarder 'secures cargo space . . . , gives advice on governmental licensing requirements [and] proper port of exit and letter of credit intricacies, and arranges to have the cargo reach the seaboard in time to meet the designated vessel.'" *Id.* (internal quotation marks omitted) (quoting *Prima U.S. Inc. v. Panalpina, Inc.*, 223 F.3d 126, 129 (2d Cir. 2000)). It is "an entity that arranges transportation of goods on behalf of a shipper . . . tak[ing] delivery of the goods, rout[ing] them to their destination, prepar[ing] documentation, arrang[ing] for necessary storage, and complet[ing] any other tasks relating to

⁹⁷ Zasada Deposition at 25, attached as Exhibit C to the CMI Brief (not CX page numbered).

⁹⁸ Vega Declaration, attached to the CMI Brief at para. 30 (not CX page numbered).

⁹⁹ Initial Decision at 16-18.

¹⁰⁰ *Id.* at 17.

the movement of the goods.” *Pray v. Oughtred & Harrison*, No. 99 Civ. 0599 (JGK), 1999 U.S. Dist. LEXIS 5287, at *23 (S.D.N.Y. Mar. 25, 1999) (emphasis removed) (quoting *United States v. Ventura*, 724 F.2d 305, 306 (2d Cir. 1983)). An NVOCC, on the other hand, “does not merely arrange for transportation of goods, but takes on the responsibility of delivering the goods.” *Scholastic Inc.*, 362 F. Supp. 2d at 455.

While the status of the intermediary—as either an NVOCC or a freight forwarder—determines its potential liability to the shipper, both NVOCCs and freight forwarders can be liable to the shipper. *See id.* at 455–56. An NVOCC’s liability to the shipper stems from the bill of lading. *Id.* at 456. A freight forwarder is liable to a shipper “for its own negligence, including negligence in choosing a carrier.” *Id.* (quoting *Zima Corp. v. M.V. Roman Pazinski*, 493 F. Supp. 268 (S.D.N.Y. 1980)).

While circumstances in the parties’ dialogue reflect an understanding that SBA would “assume responsibility” for transportation services related to CMI’s cargo, such “responsibility” without specification that it extended to NVOCC liability does not create an NVOCC out of what the parties understood to be a mere freight agency relationship.

VI. CEASE AND DESIST ORDER WOULD BE IMPROPER

The ALJ cites *Maier Terminals, LLC v. Port Authority of New York and New Jersey*, FMC No. 08-03, Order at 16-17 (FMC Jan. 31, 2013) (Order granting in part and denying in part Respondent’s Motion for Summary Judgment), for the notion that:

[T]he remedy of a cease and desist order is available to a complainant who is able to prove a violation of the Act and show that unlawful conduct is ongoing or likely to resume. If [a complainant] is able to prove a violation of the Act and show that unlawful conduct is ongoing or likely to resume, relief in the form of a cease and desist order could be available.¹⁰¹

He then finds that “[d]espite the evidence to the contrary, Service by Air argues that it did not operate as an NVOCC. I find that without a cease and desist order, it is likely that Service by Air will continue to operate as an NVOCC without a Commission license and

¹⁰¹ Initial Decision at 19-20.

as a common carrier without a published tariff. Therefore, entry of a cease and desist order is appropriate in this case.” The ALJ offers no explanation for this determination, and no evidence in the record suggests SBA would ever in the future operate improperly as an NVOCC in a transaction with any other entity. Accordingly, a cease and desist order is unfounded and would be improper.

VII. PREVAILING PARTY DETERMINATION

The ALJ concludes CMI is the “prevailing party”¹⁰² for purposes of a potential fee award. This determination should be reversed in favor a SBA being the prevailing party as demonstrated above. In any event, the majority of CMI’s original \$405,844.08 claim was not successful, such that SBA should be ruled the prevailing party on at least certain issues.

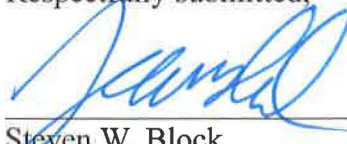
VIII. CONCLUSION

The evidence and testimony, most of which CMI itself produced and gave in depositions and declarations, make abundantly clear that SBA neither held itself out to the general public as an NVOCC nor operated as an NVOCC in its transactions with CMI. CMI concedes it had no understanding that SBA offered or provided NVOCC services. It was aware through documentation in its files that LAS Freight and other Chinese NVOCCs were acting as carriers of record, and did not interpret the “air waybill” forms containing accounting data, which SBA produced at CMI’s request, to be functional bills of lading. CMI disingenuously at best asserts that SBA operated as an NVOCC based on (1) the form it directed SBA to use; (2) containing pricing CMI dictated; and (3) supported by invoicing backup data on “air waybill” forms CMI requested and received after transportation was completed.

Accordingly, the Commission should reject the ALJ’s determinations and dismiss CMI’s claims against SBA.

¹⁰² Initial Decision at 74.

Respectfully submitted,



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July 9, 2019

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

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Attorneys for CMI Distribution, Inc.

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- ☐ Via Express Mail
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- ☐ Via E-Service Within Clerk's online eFiling Application

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- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 9th day of July, 2019.



Michelle Stark